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Federal Reserve Watch

Change of call: Fed to hike 75bp this year

Hawkish data & hawkish reaction function point to hikes

We now expect three 25bp Fed hikes this year, in September, October, and December. This would take the policy rate to 4.25-4.5%. We were skeptical of the need for cuts in 2025. Both the data and our updated read of the Fed's reaction function suggest it will reverse those cuts in short order. We think the Fed will stay on hold next year. Inflation is likely to remain sticky, keeping the real policy rate from becoming overly restrictive.

Labor market: dissipating downside risks

Powell framed last year's 75bp cutting cycle as "risk management," due to the slowdown in the labor data. At the time, we argued that consumer resilience would likely put a floor under the labor market. The pickup in job growth this year suggests the downside risks to labor that the Fed was concerned about have dissipated (Exhibit 1). The u-rate is flat vs. last May, when rates were 75bp higher and the Fed wasn't ready to cut (Exhibit 2).

Inflation: just bad

Meanwhile, the Fed's inflation problem has gotten unambiguously worse. Core PCE could reach 3.5% in May, nearly 70bp higher than it was a year ago. The pickup has been partly due to tariffs and other one-offs. The Fed was willing to look through the tariffs, but it is losing patience after the latest round of supply shocks. Also, housing-driven disinflation has now mostly run its course, while other core services remain very sticky (Exhibit 3).

The reaction function is more hawkish than we thought

In the June SEP, nine policymakers forecast hikes this year – including five voters, we think (Exhibit 5) – even though no one expects the u-rate to fall by year-end. This made us reassess our view that labor tightening is a pre-requisite for hikes. The SEP also showed inflation persistence – 2.5% core PCE by end-2027 – even though recent one-off effects would have rolled off the y/y rate by then, and the projected policy path also moved up.

Warsh didn't push back against hikes

Chair Warsh's presser also leaned hawkish. He repeatedly emphasized the importance of restoring price stability and suggested policy isn't particularly restrictive. He was also much more circumspect about AI-driven disinflation than in his prior remarks.

What would stop the Fed from hiking?

First, a sharp slowdown in payrolls this summer could push the u-rate up. Second, a few soft core PCE prints could start dragging the y/y rate down. Third, a major equity sell-off could preclude hikes by slowing demand significantly, given K-shaped spending. Last, there's Warsh. Perhaps he was strategically hawkish to gain credibility, but we think he's just buying time until inflation falls or his task forces make the case to stay on hold.

Other plausible paths for hikes

A July move is in play, though we think the Fed will want to see the summer labor data before hiking. It's also plausible that the Fed starts hiking after the midterms (December) or goes once per quarter. Finally, the Fed might have to hike by more than 75bp. This isn't our base case as demand drivers of inflation look contained, unlike in 2022 (Exhibit 4).

22 June 2026

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PCE: personal consumption
expenditure

presser: press release

SEP: Summary of Economic
Projections

u-rate: unemployment rate

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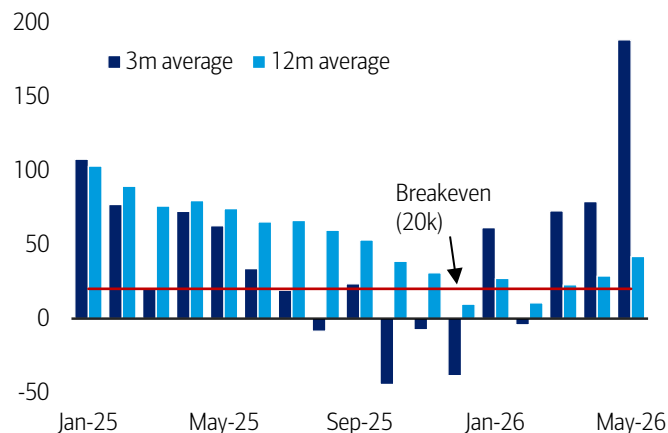
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Exhibit 1: Job growth has moved back above the breakeven rate, suggesting the labor market has bottomed out

Nonfarm payroll growth (SA, m/m change, three- and 12-month averages)

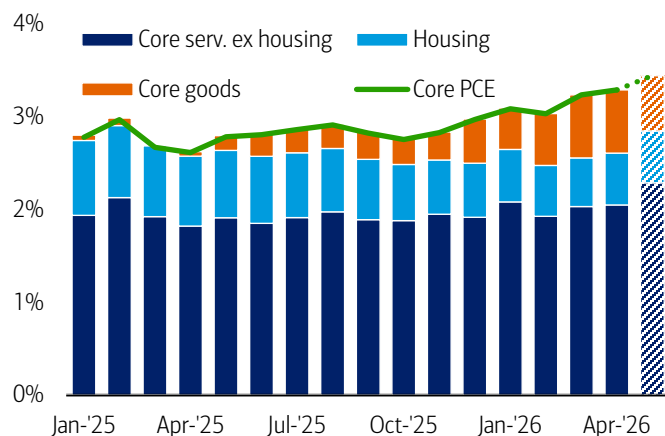


Source: BLS, Haver Analytics, BofA Global Research

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Exhibit 3: Housing-driven disinflation has largely run its course, while other core services have been very sticky

Core PCE inflation, broken out by component contributions

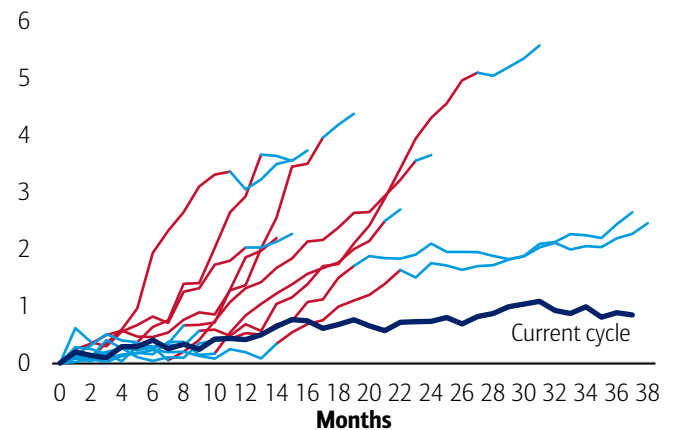


Source: BofA Global Research, BEA, BLS, Haver Analytics. Note: The May 2026 figures are based on our forecasts.

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Exhibit 2: The u-rate is unchanged from a year ago and less than 1pp above its April 2023 trough

Change in u-rate from trough to peak in each business cycle (percentage points)

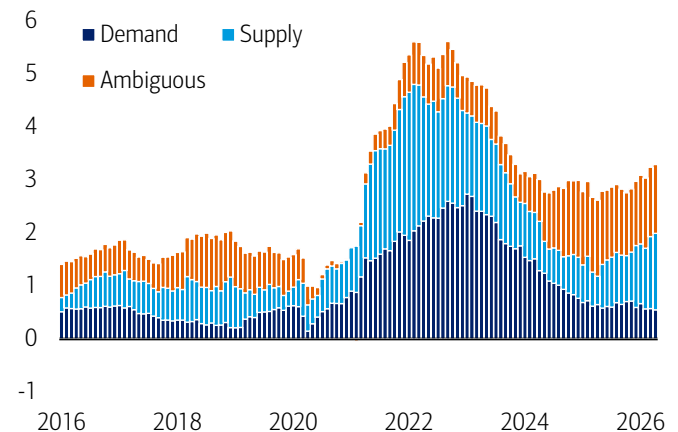


Source: BLS, BofA Global Research. Note: the light blue and red lines show prior cycles. Light blue = expansion, red = recession. We have omitted the March-April 2020 recession to make the chart easier to read. The u-rate troughed in February 2020 and peaked in April.

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Exhibit 4: Demand drivers of core PCE inflation look contained, though “ambiguous” factors likely include demand effects

Decomposition of y/y core PCE inflation into supply, demand, and ambiguous drivers (percentage points)



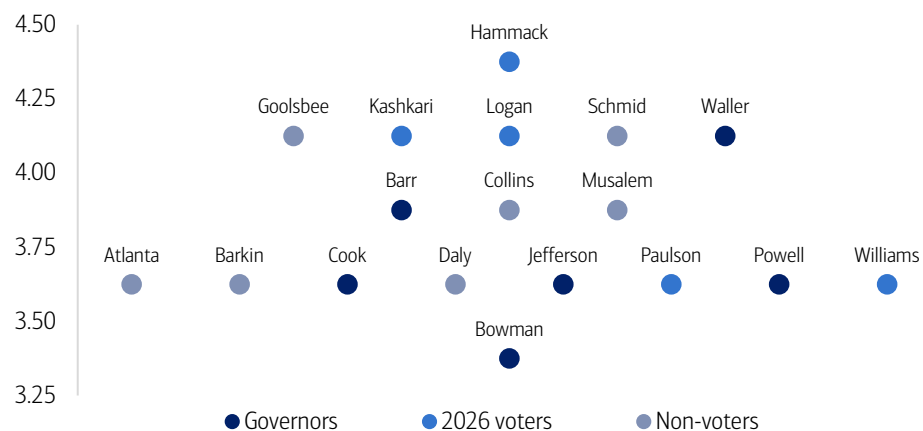
Source: Bureau of Economic Analysis, Haver Analytics, Federal Reserve Bank of San Francisco, BofA Global Research

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Exhibit 5: In our view, five voters projected hikes this year in the June SEP

BofA Global Research estimates of which policymakers correspond to the 2026 dot plot forecasts from June (%)



Source: Federal Reserve Board, BofA Global Research

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